

generation of inexpensive, easy-to-use, high-quality 35mm cameras from Japan is reviving the photo industry, and that film sales are up. You could be a film salesman, the owner of a camera store, or a clerk in a camera store. You could also be the local wedding photographer who notices that five or six relatives are taking unofficial pictures at weddings and making it harder for you to get good shots.

You don't have to be Steven Spielberg to know that some new blockbuster, or string of blockbusters, is going to give a significant boost to the earnings of Paramount or Orion Pictures. You could be an actor, an extra, a director, a stuntman, a lawyer, a gaffer, the makeup person, or the usher at a local cinema, where the standing-room-only crowds six weeks in a row inspire you to investigate the pros and cons of investing in Orion's stock.

Maybe you're a teacher and the school board chooses your school to test a new gizmo that takes attendance, saving the teachers thousands of wasted hours counting heads. "Who makes this gizmo?" is the first question I'd ask.

How about Automatic Data Processing, which processes nine million paychecks a week for 180,000 small and medium-sized companies? This has been one of the all-time great opportunities: The company went public in 1961 and has increased earnings every year without a lapse. The worst it ever did was to earn 11 percent more than the previous year, and that was during the 1982–83 recession when many companies reported losses.

Automatic Data Processing sounds like the sort of high-tech enterprise I try to avoid, but in reality it's not a computer company. It uses computers to process paychecks, and users of technology are the biggest beneficiaries of high-tech. As competition drives down the price of computers, a firm such as Automatic Data can buy the cheaper equipment, so its costs are continually reduced. This only adds to profits.

Without fanfare, this mundane enterprise that came public at six cents a share (adjusted for splits) now sells for \$40—a 600-bagger long-term. It got as high as \$54 before the October stumble. The company has twice as much cash as debt and shows no sign of slowing down.

The officers and employees of 180,000 client firms could certainly have known about the success of Automatic Data Processing, and since many of Automatic Data's biggest and best customers are major brokerage houses, so could half of Wall Street.

So often we struggle to pick a winning stock, when all the while a winning stock has been struggling to pick us.

THE TENBAGGER IN ULCERS